U.S. ETF Market: Competitive Comparison of the Three Largest Issuers

Kayton Dean | November 2026 | Sources: company reports, ETFGI, Bloomberg (via Financial Planning)

Market Sizing

- The U.S. ETF market held **$15.2T** in assets in June 2026, up from $14.28T in February, roughly 6% growth in four months.
- Year-to-date net inflows reached a record $358.9B by the end of February, so most growth came from new money, not only market gains.
- The three largest issuers control about 71% of U.S. ETF assets, a highly concentrated market.

Competitive Snapshot

Metric	BlackRock (iShares)	Vanguard	State Street (SPDR)
Firm-wide AUM	$15.5T (Q3 2026)	Not comparable*	$5.9T+ (per State Street)
U.S. ETF assets	$4.36T (Jun 2026)	$4.39T (Jun 2026)	$1.92T (Feb 2026)
U.S. ETF market share	~28.7%	~28.9%	~13.4% (Feb 2026)
ETF fees (asset-weighted)	16 bps	4 bps	Flagship SPY: 9.45 bps
Recent ETF inflows	$135B in Q3 2026	$291B YTD (to Jun 2026)	Not reported

**Vanguard does not report a firm-wide total on the cited source; comparison uses U.S. ETF assets. Dates differ by metric and are labeled.*

Key Insights

- **Fees are winning share.** Vanguard passed BlackRock as the largest U.S. ETF issuer in June 2026, ending a 20-year run. Its 4 bps average fee, a quarter of BlackRock's, drew $291B of 2026 inflows versus almost $120B for BlackRock.
- **BlackRock still leads on scale.** Firm-wide AUM of $15.5T and record $205B quarterly inflows show its strength beyond low-cost index funds, with ETFs making up 41% of its AUM.
- **State Street's position is distinct.** With about 13% share, SPDR competes less on fees and more on trading liquidity: SPY, the first U.S.-listed ETF, remains a primary trading vehicle for institutions.

Implications for State Street

- Defend the institutional trading base around SPY while growing low-cost SPDR Portfolio ETFs to compete for long-term investors.
- Expand into newer categories where fees matter less, such as fixed income and active ETFs (for example, its leveraged loan ETF, LVLN).
- Watch fee pressure: if Vanguard's low-cost model keeps taking flows, the gap between #2 and #3 could widen.